26STCV09104 26STCV09104

County: los-angeles

Division: Civil Law and Motion

Department: 311

Hearing date: 2026-07-31

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C311%2C07%2F31%2F2026

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Case Number: 26STCV09104 Hearing Date: July 31, 2026 Dept: 311

SUPERIOR
COURT OF CALIFORNIA, COUNTY OF LOS ANGELES

Civil
Division

Central
District, Stanley Mosk Courthouse, Department 311

Tentative
Ruling

26STCV09104

TE'JONNA
M. ROBINSON, et al. vs AHC ACQUISITION LLC, et al.

July
31, 2026

8:30
AM

NATURE OF PROCEEDINGS:
DEFENDANT AHC ACQUISITION LLC d/b/a LA CITY CARS' MOTION TO COMPEL ARBITRATION
PURSUANT TO CODE OF CIVIL PROCEDURE SECTIONS 1281.2 AND 1281.4; REQUEST TO STAY
ACTION, INCLUDING A STAY OF ALL CLAIMS AGAINST DEFENDANTS AMERICREDIT FINANCIAL
SERVICES, INC. AND MERCHANTS BONDING COMPANY (MUTUAL), PENDING COMPLETION OF

ARBITRATION.

RULING:

Plaintiffs
and Defendant AHC ACQUISITION LLC d/b/a LA CITY CARS shall arbitrate the
controversies existing between them including the entire First Amended
Complaint (FAC).

This
entire case is stayed as to all parties until such arbitration is had in
accordance with this Order.

The
Court schedules a Status Conference re: Arbitration on July 30, 2027. Parties shall file a Joint Status Report re:
Arbitration at least 10 days prior to the Status Conference re: Arbitration.

Defendant
shall give notice.

I.
BACKGROUND

On March 20, 2026, TE'JONNA
M. ROBINSON and PETER HARMON, (Plaintiffs) filed a Complaint against AHC
ACQUISITION LLC; AMERICREDIT FINANCIAL SERVICES, INC.; MERCHANTS BONDING
COMPANY; and ASSURED PROVIDER SERVICES, INC. (Defendants).

On May 12, 2026,
Plaintiffs filed the First Amended Complaint (FAC), listing Causes of Action
for:

1.
VIOLATIONS OF THE CONSUMERS LEGAL REMEDIES ACT;

2.
INTENTIONAL MISREPRESENTATION;

3.
CONCEALMENT;

4.
NEGLIGENT MISREPRESENTATION;

5.
VIOLATIONS OF THE UNFAIR COMPETITION LAW; and

6.
CAUSE OF ACTION UNDER VEHICLE CODE § 11711.

Plaintiffs allege that an automobile dealer sold them a vehicle after making misrepresentations and concealing, including as to a poor condition and warranty coverage of repairs to the engine never provided.

On June 22, 2026, AHC ACQUISITION LLC (Defendant) filed the Motion to Compel Arbitration pursuant to a retail installment sales contract and to stay the entire action to avoid risking inconsistent results as to interrelated issues.

Plaintiffs oppose, primarily contending that the agreement was presented as nonnegotiable and contains unconscionable and unlawful terms regarding discovery restrictions and fee-shifting.

II.
LEGAL STANDARD

Parties petitioning to compel arbitration have the burden to prove the existence of a valid arbitration agreement by a preponderance of evidence, and parties opposing have the burden to prove by a preponderance of the evidence any fact necessary to a defense. (Gonzalez v. Nowhere Beverly Hills LLC (2024) 107 Cal.App.5th 111, 121.)

Generally, contract defenses like applicable unconscionability may invalidate arbitration agreements, under both the FAA and California law. (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 125.) California courts must apply procedural provisions of the Federal Arbitration Act when the parties expressly so agreed. (Rodriguez v. American

Technologies, Inc. (2006) 136 Cal.App.4th 1110, 1122.)

Code of Civil Procedure section 1281.2, subdivision (c) "allows the trial court to stay arbitration proceedings while the concurrent lawsuit proceeds or stay the lawsuit while arbitration proceeds to avoid conflicting rulings on common issues of fact and law amongst interrelated parties." (Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal.4th 376, 383, 393.)

Where a court has ordered arbitration, it shall stay the pending action until an arbitration is had in accordance with the order to arbitrate, or another earlier time, and the stay may be with respect to an issue that is severable. (Code Civ. Proc., § 1281.4; Mattson Tech., Inc. v. Applied Materials, Inc. (2023) 96 Cal.App.5th 1149, 1161; Twentieth Century Fox Film Corp. v. Superior Court (2000) 79 Cal.App.4th 188, 192.)

III.
ANALYSIS

Defendant maintains that the discovery provisions of the incorporated AAA Consumer Arbitration Rules are lawful, or could only be severed at most. Second, Defendant reasons that Code of Civil Procedure section 1284.3 is not violated by the agreement allowing fee-shifting for claims that arbitrators find to be frivolous, which is not to be confused with prevailing-party analyses. Third, Defendant reasons that the entire action should be stayed to avoid inconsistent rulings as to interrelated claims against the nonsignatory defendants.

Plaintiffs summarize their positions, as follows: "The Motion should be denied because the arbitration provision, as applied, is unconscionable and deprives Plaintiffs of the ability to meaningfully vindicate their statutory rights due to the lack of the right to conduct any discovery and other defects. AHC's insistence on arbitration before the AAA creates an unreasonably one-sided procedure that favors AHC. Additionally, the arbitration provision and AAA rules contain an illegal cost-shifting provision." (Opposition, p. 1.)

Arguably, the unconscionability

factors are not applicable to the car purchase contract. (Cf. Independent Ass'n of Mailbox Center Owners, Inc. v. Superior Court (2005) 133 Cal.App.4th 396, 414-416 [Armendariz fee-shifting inapposite to common law claims but applies on case-by-case basis where statutory right must be involved that invokes rights not just for benefit of individuals but for public purpose]; Boghos v. Certain Underwriters at Lloyd's of London (2005) 36 Cal.4th 495, 501 [Armendariz inapplicable to common-law contract claim related to insurance statute]; Parker v. McCaw (2005) 125 Cal.App.4th 1494, 1507 [Armendariz scrutiny inapplicable where no FEHA claims raised].)

Additionally, for an arbitration agreement to be unenforceable as unconscionable, both procedural and substantive unconscionability must be present. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.) Circumstances indicating unconscionability and oppression include (1) time the party was given to consider the agreement, (2) extent and type of pressure exerted to sign, (3) length of the contract and length and complexity of challenged provisions, (4) education and experience of the party, and (5) agreement review aided by counsel. (Mills v. Facility Sols. Grp., Inc. (2022) 84 Cal.App.5th 1035, 1051.)

An AAA provision allowing arbitrators to control the extent of discovery did not constitute substantive unconscionability. (See Roman v. Superior Court (2009) 172 Cal.App.4th 1462, 1476.) AAA rules allowing arbitrators to allow discovery considered necessary were upheld in multiple cases. (Murrey v. Superior Court (2023) 87 Cal.App.5th 1223, 1249. Cf. Torrecillas v. Fitness Int'l, LLC (2024) 52 Cal.App.5th 485, 498 [“And if he requests and shows a substantial need, he can get additional discovery.”], disapproved of on other grounds by Ramirez v. Charter Commc'ns, Inc. (2024) 16 Cal.5th 478, 507 (Ramirez) [“arbitrator has authority to order additional discovery if the arbitrator determines that action is necessary to allow fair arbitration of the claim. Such an interpretation of the provisions eliminates any unconscionability.”].)

Where an arbitration provision is susceptible to interpretation that the arbitrator has authority to order additional discovery as being necessary to allow fair arbitration of the claim, then the provision is not unconscionable. (Ramirez, supra, 16 Cal.5th at p. 540. Cf. Vo v. Tech. Credit Union (2025) 108 Cal.App.5th

632, 648 [“JAMS Rules incorporated into the arbitration agreement here provide an arbitrator the authority to permit nonparty discovery to allow fair arbitration of Vo's statutory claims. Applying the sliding scale rubric established in the Supreme Court's opinion, and considering all the relevant circumstances, we conclude the agreement is not unconscionable.”].)

Regarding Code of Civil Procedure section 1284.3, subdivision (a), legislative history indicates intent to address fee-shifting provisions that, “may be so daunting as to deter the consumer from pursuing his or her case.” (Assem. Judiciary Com., Analysis of Assem. Bill No. 2915 (2001-2002 Reg. Sess.) May 7, 2002, p. 6.) When legislation is ambiguous, courts consider, among other things, the objects, remedies, history, public policy, contemporaneous administrative construction, and the statutory scheme. (Nolan v. City of Anaheim (2004) 33 Cal.4th 335, 340.)

Here, the Court finds that Plaintiffs’ declarations are conclusory and lack evidentiary foundation to show that they were required to agree to the form contracts without any opportunity to negotiate. Distinguishably, in an opinion cited at page 5 of the Opposition, more detailed factual background was drawn from the complaint and the plaintiff’s declaration. (See Gutierrez v. Autowest, Inc. (2004) 114 Cal.App.4th 77, 83, fn. 3.)

Assuming that procedural unconscionability exists based upon a contract of adhesion, the Court determines that substantive unconscionability is not present.

As supported with case citations above, AAA rules applicable to discovery are not unconscionable.

As for fee-shifting, as an issue of first impression, the Court determines that the instant agreement allowing fee-shifting only for frivolous claims, is not so daunting as to deter consumers from pursuing colorable cases. Analogously, complainants are not permitted to bring frivolous court cases and face potential sanctions. (E.g., Code Civ. Proc., §§ 128.5 and 128.7).

In summary, the Court finds that unconscionability is no basis to deny arbitration in this case. If it were to exist, the Court would sever such provision and enforce the rest of the arbitration provisions.

IV. CONCLUSION

Accordingly, the Court grants the Motion.